

in earnings. I'll have shortcuts to ways of thinking about these problems later in the book.

But to get back to Heiserman. Heiserman found a bunch of great examples of multibaggers. It reads like a "greatest hits" collection from the stock market: Microsoft, Cisco, Dell, Chico's, Google, Paychex, Hansen and more.

He says earnings just seem to step higher and higher, like going up a staircase.

All of these studies show us that past multibaggers enjoyed strong growth for a long time.

In the next chapter, let's look at what I discovered when I looked at that population of 100-baggers I pulled from 1962 through 2014.